

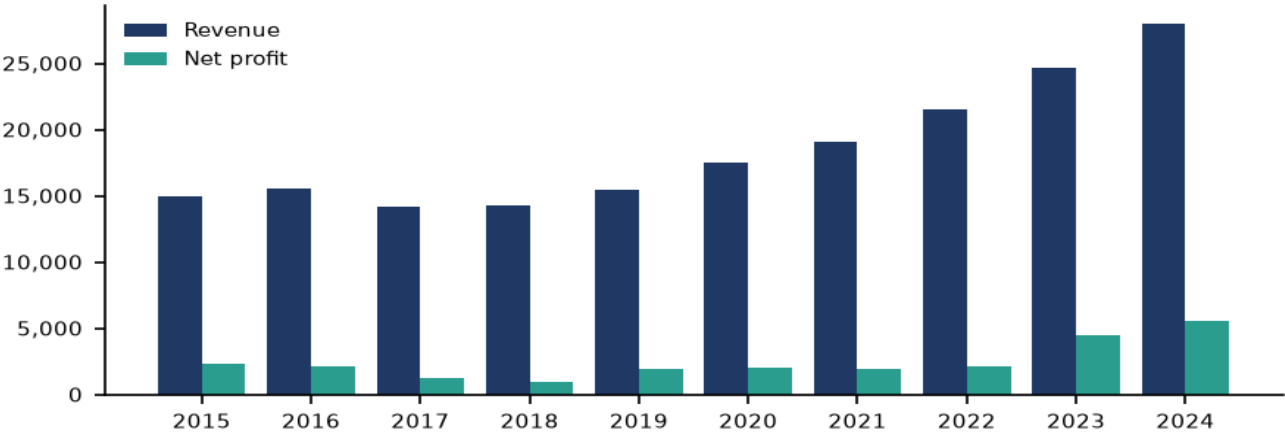
Dr Reddys Laboratories Ltd

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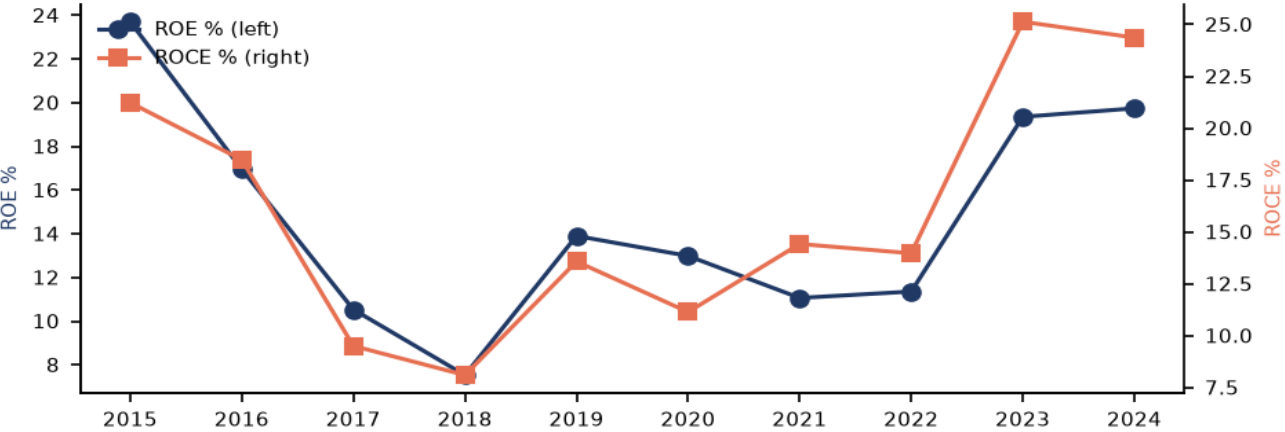
Key figures, financial year 2024

ROE 19.7%	ROCE 24.4%	Net profit margin 19.9%
Debt to equity 0.07	Revenue CAGR 5yr 12.6%	Free cash flow (Rs Cr) 509

Revenue and Net Profit (Rs Cr)



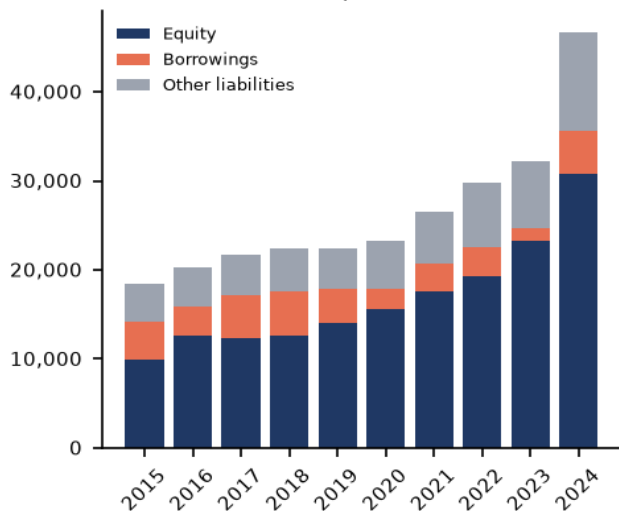
ROE (left axis) and ROCE (right axis)



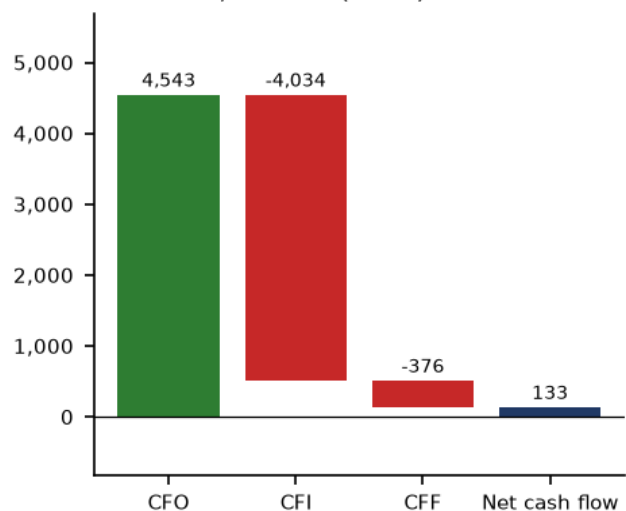
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Balance sheet composition (Rs Cr)



Cash flow, FY2024 (Rs Cr)



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (100%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (80%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (79%)

Cons

- Asset turnover of 0.7x is below the Nifty 100 median of 0.8x (72%)

Capital allocation: Reinvestor

Operating cash flow is being reinvested in the business.

Generated from the Nifty 100 database. Percentages in brackets are the rule confidence. Pros and cons are automatic and are not investment advice. Market data (stock prices, market cap, P/E, P/B) used anywhere in this project is SIMULATED.